

7-5 Management Savvy

The big question in global business, adapted to the context of foreign exchange movements, is: What determines the success and failure of currency management around the globe? The answer boils down to two components. First, from an institution-based standpoint, the “rules of the game”—economic, political, and psychological—enable or constrain firms. For example, Swiss exporters’ frustration with the appreciation of the Swiss franc relative to the euro stems from the centuries-old policy of Switzerland to maintain its political and economic independence. While all of Switzerland’s neighbors have joined the EU and adopted the euro, Switzerland will not. Second, from a resource-based perspective, how firms develop valuable, unique, and hard-to-imitate capabilities in currency management may make or break them. While Swiss multinationals such as ABB and Nestlé can reduce their exposure to the Swiss franc by engaging in strategic hedging to produce outside of Switzerland (and often outside of the euro zone), many smaller Swiss firms do not have such capabilities

Learning Objective 7-5
Draw implications for action.

As a result, three implications for action emerge (Table 7.4). First, foreign exchange literacy must be fostered. Savvy managers need to not only pay attention to the broad long-run movements informed by PPP, productivity changes, and balance of payments, but also to the fickle short-run fluctuations triggered by interest rate changes and investor mood swings.

Table 7.4

Implications for Action

- Fostering foreign exchange literacy is a must.
- Risk analysis of any country must include an analysis of its currency risks.
- A currency risk management strategy is necessary—via currency hedging, strategic hedging, or both.

Second, risk analysis of any country must include its currency risks. Previous chapters have advised managers to pay attention to political, regulatory, and cultural risks of various countries. Here, a crucial currency risk dimension is added. An otherwise attractive country may suffer from high inflation, resulting in devaluation of its currency on the horizon. For example, prior to 2008, foreign and domestic banks in emerging European countries such as Hungary, Latvia, and Poland let numerous home buyers to take out mortgage loans denominated in the euro, while a majority of these customers' assets and incomes were in local currencies. Unfortunately, local currencies in these countries were severely devaluated in the 2008–2009 crisis, making many homebuyers unable to come up with the higher mortgage payments. Both domestic and foreign banks in the region also suffered from severe losses.

Finally, a country's high currency risks do not necessarily suggest that this country needs to be totally avoided. Instead, they call for a prudent currency risk management strategy—via currency hedging, strategic hedging, or both. Not every firm has the stomach or capabilities to do both. Smaller, internationally inexperienced firms may outsource currency hedging to specialists such as currency traders. Strategic hedging may be unrealistic for such smaller, inexperienced firms. On the other hand, many larger, internationally experienced firms (such as 3M) choose not to touch currency hedging, citing its unpredictability. Instead, they focus on strategic hedging. Although there is no fixed formula, firms not having a well-thought-out currency management strategy will be caught off guard when currency movements take a nasty turn.